CLOSING STATEMENT

Saddlebrook Market Lofts | Boston, MA

Property	Saddlebrook Market Lofts
Settlement Date	December 21, 2019
Buyer	Sunbelt Ridge Acquisitions
Seller	Harlan Street Capital
Sale Price	$14,660,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$14,660,000			
Earnest money deposit		$30,025	$30,025	
Real estate tax proration	$18,664			$18,664
Rent proration			$23,147	
Security deposits assumed	$62,817	$62,817		
Prepaid rents			$64,416	$64,416
Owner's title policy premium	$96,715			
Lender's title policy premium		$144,148	$144,148	
Escrow fee	$89,394			$89,394
Recording fees			$50,864	
Transfer tax	$130,483	$130,483		
Survey			$51,065	$51,065
Legal fees - Buyer	$127,273			
Legal fees - Seller		$95,030	$95,030	
Broker commission	$137,609			$137,609
Loan origination fee			$138,396	
Lender legal	$51,524	$51,524		
Appraisal fee			$115,783	$115,783
Environmental report	$20,603			
Property condition report		$121,856	$121,856	
Tax escrow deposit	$100,601			$100,601
Insurance escrow deposit			$135,583	

Report generated 12/21/2019. Figures are unaudited and subject to change.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$14,660,000			
Legal fees - Seller		$45,671	$45,671	
Broker commission	$88,053			$88,053
Loan origination fee			$143,737	
Lender legal	$127,730	$127,730		
Appraisal fee			$86,526	$86,526
Environmental report	$107,261			
Property condition report		$96,638	$96,638	
Tax escrow deposit	$136,028			$136,028
Insurance escrow deposit			$44,575	
Replacement reserve deposit	$61,868	$61,868		
Utility deposits			$146,467	$146,467
Assumed vendor contracts credit	$110,644			
Tenant improvement credit		$68,294	$68,294	
Courier / wire fees	$108,776			$108,776
Municipal certificates			$103,117	
Purchase price	$59,417	$59,417		
Earnest money deposit			$45,326	$45,326
Real estate tax proration	$125,210			
Rent proration		$50,416	$50,416	
Security deposits assumed	$41,074			$41,074
Prepaid rents			$26,526	
Owner's title policy premium	$70,812	$70,812		
Lender's title policy premium			$122,817	$122,817
Escrow fee	$67,148			
Recording fees		$45,852	$45,852	
Transfer tax	$100,270			$100,270
Survey			$64,265	

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Income and Expense Review

Effective gross income for the trailing period was $217,000, representing a 11.6% increase over the prior year. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 16 structured parking spaces shared between uses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $118,000 or approximately 44.95 per square foot, with real estate taxes representing the largest line item.

Operating expenses totaled $194,000 or approximately 8.96 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Income and Expense Review

The property is walkable to transit, with 46 structured parking spaces shared between uses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. Operating expenses totaled $105,000 or approximately 42.03 per square foot, with real estate taxes representing the largest line item.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $326,000, representing a 9.8% increase over the prior year.

Financial Analysis

Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $203,000, representing a 3.2% increase over the prior year. The property is walkable to transit, with 39 structured parking spaces shared between uses. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

The going-in capitalization rate of 7.38% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $333,000, representing a 4.0% increase over the prior year. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Saddlebrook Market Lofts Owner LLC

By: Natalie Lopez Title: Managing Member Date: 12/21/2019

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Pioneer Design Studio

By: Carlos Nguyen Title: Manager Date: 12/21/2019

Exhibit A - Property

Saddlebrook Market Lofts, 2819 Pioneer Drive, Boston, MA 23432. Parcel containing approximately 6.92 acres, together with all improvements thereon.

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